

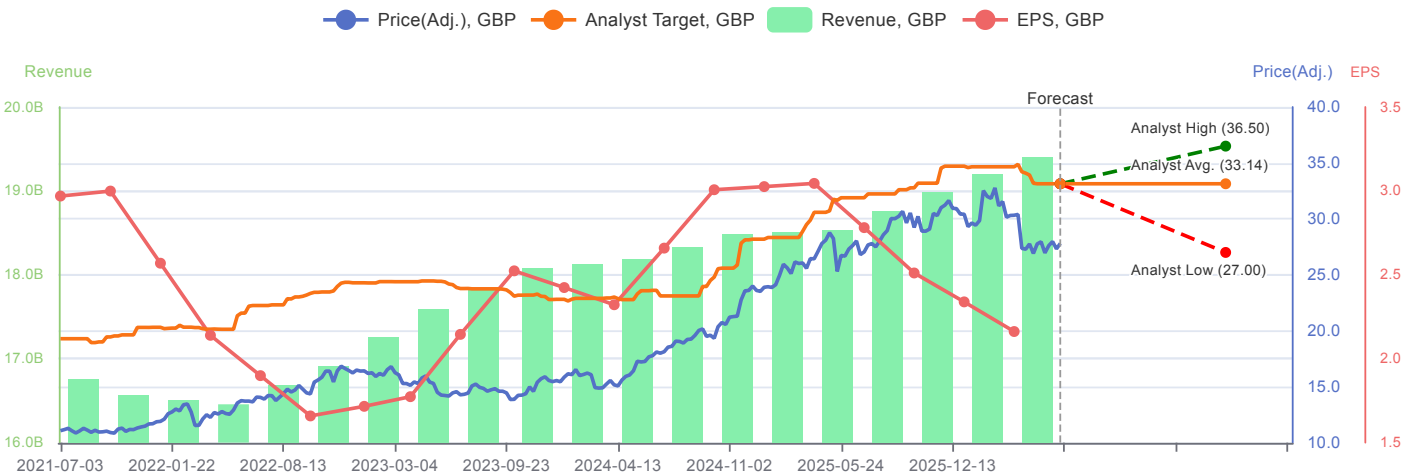
Key Indicators:

Date: Jul 2, 2026

Stock Price
£27.7

52-Week Range	£26.3 - £35.4	EPS Revisions (90d)	↑ - ↓ -	Revenue	£19.4B
Market Cap	£21.3B	PEG Ratio	-0.42	Revenue Forecast	£10.1B
P/E Ratio	12.2	FCF Yield	15.7	1-Year Change	3.67%
P/E (Fwd.)	8.12	EV / EBITDA	8.09	Div Yield	5.91%
EPS Actual	3.13	Book / Share	5.16	Div. Growth Streak	4 years
EPS Estimate	3.41	Beta (5Y)	0.15	Next Earnings	2026-11-17

5-Year Chart



Executive Summary

Warren AI

Imperial Brands PLC (LON:IMB) is a leading international tobacco and next-generation products (NGP) company operating across key markets including the US, Europe, Australia, Africa, and Asia.

In H1 fiscal 2026, the company reported tobacco and NGP net revenue up **1.8% at constant currency**, with adjusted EPS rising **5.3% to 127.7 pence**. Group adjusted operating profit grew 0.6% at constant currency to £1,662 million, despite over **£50 million in one-time headwinds** including US cigar tariffs, accelerated Australian volume declines (~50%), and US NGP promotional timing impacts (~£13 million). Pricing power of **3.0% at group level** more than offset a 1.5% volume decline, with Europe achieving the strongest price/mix gains of 6.0%.

NGP net revenue grew 7.5% at constant currency, with blu vapour gaining 130 basis points of market share and Zone US oral nicotine volumes up 40%. The company is exiting US vapor (myblu) and expects **£100 million in savings** from closing its Langenhagen (Germany) and Taiwan factories by summer 2027, targeting £320 million total efficiency savings by 2030.

On the financial health front, IMB generated **£2.6 billion in free cash flow** over the trailing 12 months with 98% operating cash conversion, and announced a **4% dividend increase**. The company is on track with its **£1.45 billion share buyback program** and confirmed full-year fiscal 2026 guidance of 3–5% adjusted operating profit growth and at least high single-digit EPS growth. The stock trades at a **forward P/E of 8.12x** versus a fair value estimate of 34.68 GBP, suggesting potential undervaluation. Analyst consensus targets a median of **33.14 GBP**, with technical indicators rated **Strong Buy**.

Key risks include the *ongoing Iran-Middle East conflict* potentially impacting input costs and consumer demand, evolving FDA regulatory requirements for foreign tobacco manufacturers, and secular volume declines in traditional tobacco. The company has maintained dividend payments for **30 consecutive years** and raised dividends for 4 consecutive years, reinforcing its appeal to income-focused investors.

Fair Value

Upside	23.6%
Fair Value	£34.7

Financial Health

4.8/10
Growth Rating

8.3/10
Profitability Rating

4.9/10
Cash Flow Rating

Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	30/09	30/09	30/09	30/09	30/09
Capitalization	£14.8B	£18.2B	£25.2B	£21.3B	£21.3B
P/E Ratio	7.40	7.76	10.8	8.12	7.91
Div. Yield	10.2	7.61	6.21	5.91	-
Capitalization / Revenue	0.83	0.99	1.34	2.12	2.08
EV / Revenue	1.42	1.59	1.92	3.24	3.18
EV / EBITDA	6.54	7.13	8.90	7.41	7.20
EV / FCF	8.66	9.32	10.7	-	-
FCF Yield	17.0	16.1	13.1	-	-
Price / Book	2.46	3.34	5.22	5.25	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

- Management has been aggressively buying back shares
- High shareholder yield
- Has raised its dividend for 4 consecutive years
- Valuation implies a strong free cash flow yield
- Trading at a low earnings multiple
- Pays a significant dividend to shareholders
- Has maintained dividend payments for 30 consecutive years
- Analysts predict the company will be profitable this year
- Profitable over the last twelve months
- Strong return over the last five years

- Analysts anticipate sales decline in the current year
- Short term obligations exceed liquid assets

Analyst Projections:

Analyst EPS Forecasts

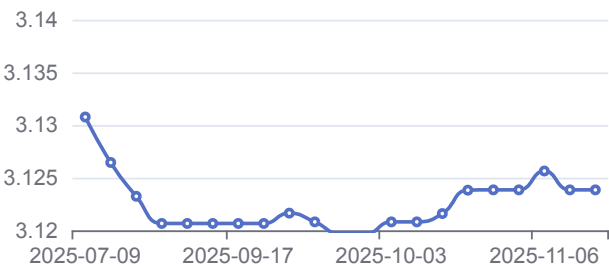
Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2026	4.53	7.1%	8.1x	11
2027	4.65	9.4%	7.9x	11
2028	4.76	9.4%	7.7x	10

Latest Ratings

Date	Analyst	Rating	Target
Apr 29, 26	Jefferies	Buy	£35
Apr 15, 26	Citi	Buy	£35.5
Apr 15, 26	UBS	Hold	£31.5

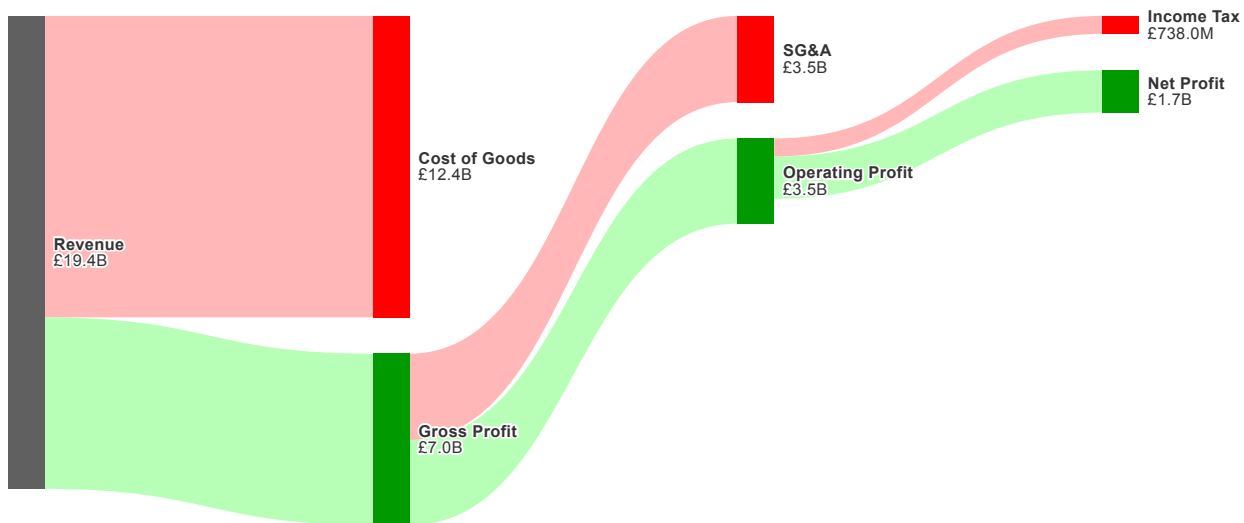
EPS Revisions Q3 2026

EPS Revisions FY2026



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have reduced this quarter's expectations by 0.2% for EPS from \$4.12 per share to \$4.11 per share over the last 12 months. The company is expected to report earnings for Q3, 2026, on November 17, 2026.

Y LTM Financials:



* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	16,907	18,077	18,486	18,984	19,406
Operating Income	3,185	3,571	3,568	3,497	3,498
Net Income to Stockholders	1,570	2,328	2,613	2,071	1,738
Shares Outstanding	937.0	887.7	837.5	798.0	769.7
Diluted EPS	1.65	2.51	2.99	2.49	2.15
EBITDA	3,650	4,078	4,083	4,029	4,016

Balance Sheet

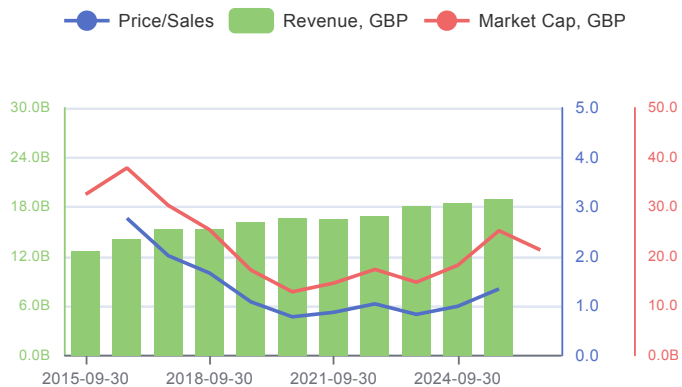
Date	2022	2023	2024	2025	LTM
Total Current Assets	8,921	8,595	8,196	8,812	8,338
Total Assets	30,958	29,491	27,826	28,715	28,232
Total Current Liabilities	11,139	11,899	11,462	11,854	11,950
Total Liabilities	23,485	22,849	21,797	23,283	23,625
Total Equity	7,473	6,642	6,029	5,432	4,607
Total Debt	10,291	10,448	9,502	10,267	11,232

Cash Flow Statement

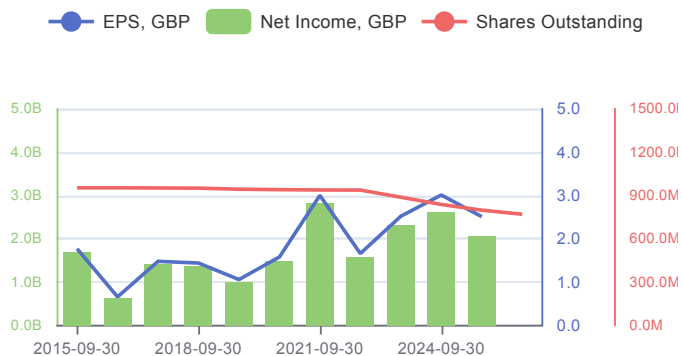
Date	2022	2023	2024	2025	LTM
Cash from Operations	3,186	3,129	3,307	3,627	3,526
Cash from Investing	-155.0	-427.0	-348.0	-342.0	-299.0
Cash from Financing	-2,516	-3,051	-3,162	-2,975	-3,358
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In GBP millions, except number of shares, which are reflected in thousands, and per share amounts.

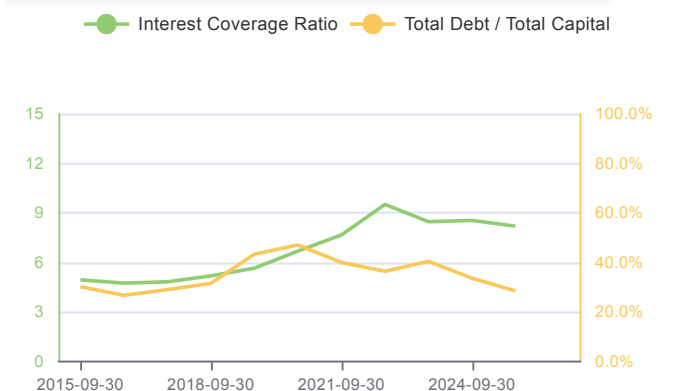
Revenue, Market Cap, Price/sales



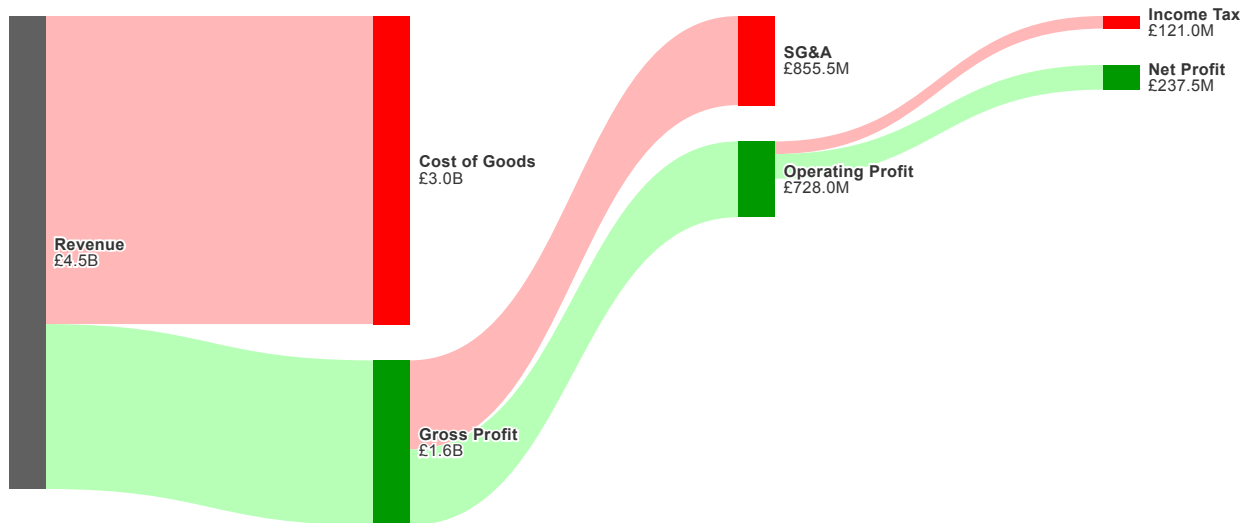
Net Income, EPS, Shares



Leverage and Debt



Q2 Financials



* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Revenue	4,330	5,161	5,161	4,541	4,541
Operating Income	727.5	1,021	1,021	728.0	728.0
Net Income to Stockholders	404.0	631.5	631.5	237.5	237.5
Shares Outstanding	816.1	804.8	798.0	792.9	781.9
Diluted EPS	0.48	0.77	0.77	0.30	0.30
EBITDA	879.5	1,122	1,122	873.0	873.0

Balance Sheet

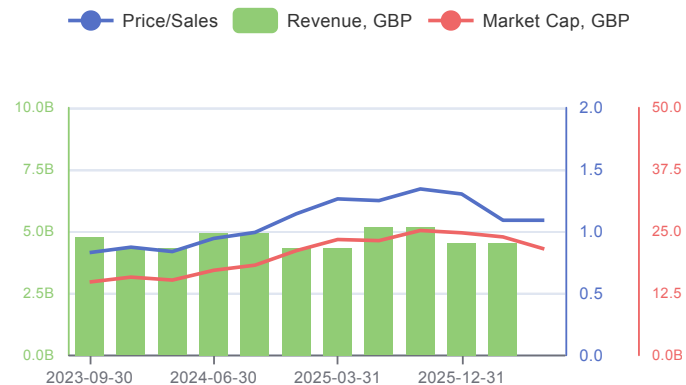
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Total Current Assets	8,093	8,812	8,812	8,338	8,338
Total Assets	27,856	28,715	28,715	28,232	28,232
Total Current Liabilities	11,908	11,854	11,854	11,950	11,950
Total Liabilities	22,326	23,283	23,283	23,625	23,625
Total Equity	5,530	5,432	5,432	4,607	4,607
Total Debt	10,895	10,267	10,267	11,232	11,232

Cash Flow Statement

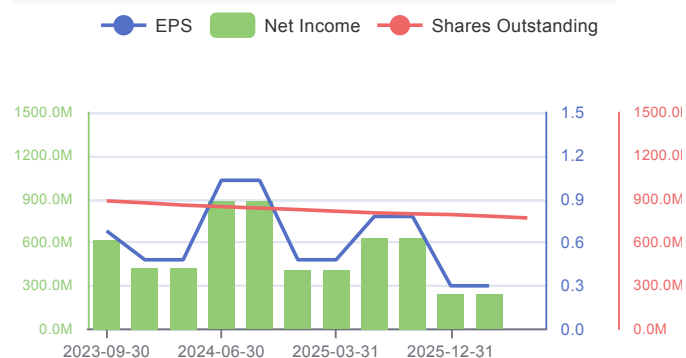
Date	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Cash from Operations	-16.0	1,829	1,829	-66.5	-66.5
Cash from Investing	-98.0	-73.0	-73.0	-76.5	-76.5
Cash from Financing	-132.5	-1,355	-1,355	-324.0	-324.0
Levered Free Cash Flow	-0.0	0.0	0.0	-0.0	-108.5

*In GBP millions, except number of shares, which are reflected in thousands, and per share amounts.

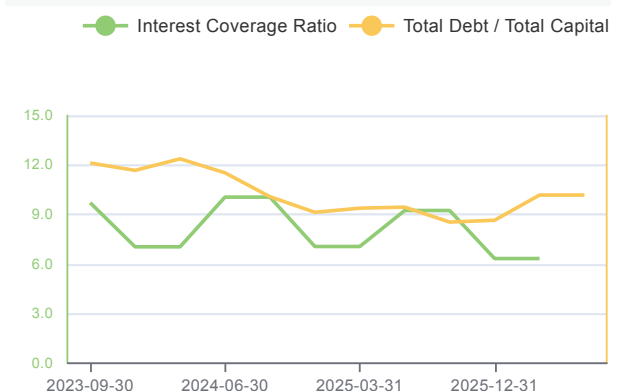
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

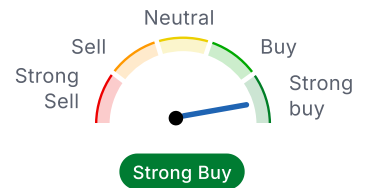
Price Momentum

Metric	IMB	Percentile	Score
Price % of 52 Week High	78.3%	45.6%	2.3
1 Week Price Total Return	0.1%	45.7%	2.3
2 Week Price Total Return	0.4%	48.6%	2.4
3 Week Price Total Return	-0.7%	46.3%	2.3
1 Month Price Total Return	3.7%	67.9%	3.4
3 Month Price Total Return	-8.7%	32.0%	1.6
6 Month Price Total Return	-9.0%	34.6%	1.7
1 Year Price Total Return	3.7%	53.5%	2.7
2 Year Price Total Return	54.6%	82.1%	4.1
3 Year Price Total Return	93.9%	83.5%	4.2
4 Year Price Total Return	97.0%	81.5%	4.1
5 Year Price Total Return	150.0%	91.3%	4.6

Peers

BATS	TSCO
85.2%	50.4%
-3.4%	5.2%
3.1%	6.3%
-1.0%	2.7%
1.6%	-0.5%
2.9%	-28.4%
9.8%	-36.0%
36.8%	-40.3%
110.5%	-38.7%
121.1%	-24.4%
74.5%	-13.3%
136.0%	-8.1%

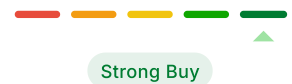
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	IMB	BATS	TSCO
Market Cap	£21.3B	£98.0B	\$16.9B
Price % of 52 Week High	76.2%	85.2%	50.4%
Div Yield	5.91%	5.40%	2.98%
Beta	0.15	0.12	0.46
1 Year Return	3.67%	36.8%	-40.3%

Growth Metrics

Metric	IMB	BATS	TSCO
Revenue Growth	4.73%	-0.99%	4.64%
Revenue CAGR (5y)	2.72%	-0.13%	7.89%
Net Income Growth	-32.5%	153.1%	-0.11%
Net Income CAGR (5y)	6.74%	3.94%	7.91%
Revenue Forecast CAGR (5y)	-9.49%	2.98%	5.98%
Net Income Forecast CAGR (5y)	5.59%	4.57%	7.55%

Financial Statement Metrics

Metric	IMB	BATS	TSCO
Revenue	£19.4B	£25.6B	\$15.6B
Gross Profit	£7.0B	£21.2B	\$5.7B
Operating Income	£3.5B	£9.8B	\$1.5B
Gross Profit Margin	36.3	82.7	36.4
Net Income to Common	£1.7B	£7.7B	\$1.1B
ROE	38.6	15.7	45.5
ROI	17.1	9.17	13.4
ROA	6.71	6.81	9.81
Total Assets	£28.2B	£109.3B	\$11.7B
Total Debt	£11.2B	£35.1B	\$6.4B

Valuation Metrics

Metric	IMB	BATS	TSCO
P/E Ratio (LTM)	12.2	12.8	15.6
PEG Ratio	-0.42	0.08	16.0
Price / Book	5.25	2.06	6.73
Price / LTM Sales	1.09	3.85	1.08
Analyst Upside	21.0%	14.6%	39.5%
Fair Value Upside	23.6%	49.0%	772.0%

Latest Insights

WarrenAI

Bull Case

- IMB confirmed full-year FY26 guidance of 3–5% adjusted operating profit growth at constant currency, at least high single-digit EPS growth, and at least £2.2 billion in free cash flow, demonstrating management confidence despite H1 headwinds.
- Robust pricing power of 3.0% at group level (Europe +6.0%, US +5.7%) continues to more than offset volume declines, underpinning low single-digit tobacco net revenue growth in line with guidance.
- NGP net revenue grew 7.5% at constant currency in H1 FY26, with blu vapour gaining 130bps of market share and Zone US oral nicotine volumes up 40%; the company targets double-digit NGP net revenue growth for the full year.
- Free cash flow of £2.6 billion over the trailing 12 months with 98% operating cash conversion supports an 'evergreen' £1.45 billion share buyback program and a 4% dividend increase, with total cumulative capital returns of £11.5 billion since FY21.
- Over £50 million in H1 one-off headwinds (US tariffs, Australia declines, NGP promotional timing) are expected to significantly reduce in H2, supporting a step-up in financial performance and full-year delivery.
- Analyst consensus rates IMB a 'Strong Buy' technically, with a median target of 33.14 GBP and a high of 36.50 GBP versus the current price of 27.68 GBP, implying meaningful upside. Forward P/E of 8.12x and FCF yield of 16% suggest attractive valuation.

Bear Case

- Secular volume declines in traditional tobacco persist, with group volumes down 1.5% in H1 FY26 and Australia experiencing accelerated declines of ~50%, creating long-term revenue pressure that pricing alone may not fully offset indefinitely.
- NGP revenue represents only ~5% of total revenue (excluding distribution) in H1 FY26, lagging some peers, and the decision to exit US vapor (myblu) narrows the NGP portfolio in a key market while the competitive landscape intensifies.
- The ongoing Iran-Middle East conflict poses risks to input costs, consumer demand, and duty-free sales; management acknowledged that a prolonged conflict could have a meaningful impact on FY27 and beyond.
- Significant one-off costs including the £313 million Delaware legal settlement (with ~£162 million in remaining payments over three years) and ongoing restructuring charges weigh on reported free cash flow and profitability.
- Short-term obligations exceed liquid assets (per Pro Tips warning), and analysts anticipate a sales decline in the current year, raising near-term liquidity and revenue concerns.
- Proposed FDA registration rules for foreign tobacco manufacturers and an increasingly stringent global regulatory environment could raise compliance costs and restrict market access for IMB's products.

Additional Insights

- IMB's stock trades at 27.68 GBP, near the lower end of its 52-week range (26.26–35.35 GBP), with a fair value estimate of 34.68 GBP suggesting ~25% potential upside; the PEG ratio of -0.42 and EV/EBITDA of 8.09x indicate attractive relative valuation.
- The company has maintained dividend payments for 30 consecutive years and raised dividends for 4 consecutive years, with a current yield of 5.91%, making it a compelling income stock with a beta of just 0.15.
- Efficiency savings of £25 million are targeted for FY26 from manufacturing improvements, with the Langenhagen (Germany) and Taiwan factory closures expected to deliver £100 million in overhead reductions by summer 2027 toward the £320 million total savings goal by 2030.
- The Capgemini strategic partnership will transfer ~400 roles and accelerate technology adoption (SAP S/4HANA, Salesforce, Blue Yonder), aiming to improve consumer capabilities and drive long-term revenue growth beyond cost savings.
- US cigarette industry volumes declined 7.4% in the four weeks ending May 30 (BoFA data), though improved FDA enforcement on illicit vapes and better consumer sentiment are cited as partial tailwinds for legitimate combustible volumes in H2 FY26.

SWOT Analysis

WarrenAI

Strengths

- Generates £2.6 billion in annual free cash flow with 98% operating cash conversion, supporting consistent dividends (30-year payment streak, 4 consecutive increases) and an evergreen share buyback program.
- Strong pricing power across all regions (group +3.0%, Europe +6.0%, US +5.7%) consistently offsets volume declines, demonstrating the resilience of the tobacco value model.
- Diversified NGP portfolio across vapor (blu), heated tobacco (Pulze), and modern oral (Zone, Skruf) with share gains across all three categories in H1 FY26.

Weaknesses

- Heavy dependence on declining traditional tobacco volumes, which still represent ~95% of net revenue (ex-distribution), creates structural long-term revenue risk.
- NGP revenue contribution remains modest (~5% ex-distribution in H1 FY26) and lags peers, with the US vapor exit (myblu) further limiting near-term NGP diversification.
- Significant legal and restructuring liabilities, including ~£162 million in remaining Delaware settlement payments and ongoing transformation costs, constrain near-term free cash flow.

Opportunities

- Accelerating NGP growth, particularly in modern oral (Zone US volumes +40% in H1 FY26) and heated tobacco (Pulze 3.0 gaining share), with double-digit NGP net revenue growth targeted for full-year FY26.
- £320 million in targeted annualized efficiency savings by 2030 through factory footprint rationalization and the Capgemini digital transformation partnership offer meaningful margin expansion potential.
- Geographic white-space expansion in combustibles (e.g., Syria entry contributing meaningfully in H1 FY26) and selective NGP market rollouts provide incremental volume and revenue growth opportunities.

Threats

- Intensifying global regulatory scrutiny, including the FDA's proposed foreign manufacturer registration rule and potential German tobacco tax increases (likely FY27+ impact), could raise compliance costs and restrict market access.
- The ongoing Iran-Middle East conflict risks increasing input costs, disrupting supply chains, and dampening consumer demand, particularly in duty-free channels, with management monitoring for FY27 spillover effects.
- Growing illicit trade in high-tax markets and intense NGP competition from better-resourced peers threaten legitimate market volumes and IMB's ability to scale its NGP business profitably.

Earnings Call - H1 2026

05/12/26 | WarrenAI

- Note: The earnings call transcript provided is for Imperial Brands PLC (IMB) H1 FY26, though the article headline references BAT; content reflects IMB's H1 FY26 results presentation.
- H1 FY26 adjusted operating profit grew 0.6% at constant currency to £1,662 million, impacted by over £50 million in one-offs (US cigar tariffs, Australia volume declines ~50%, US NGP promotional timing ~£13 million).
- Full-year FY26 guidance confirmed: 3–5% AOP growth, at least high single-digit EPS growth, and at least £2.2 billion free cash flow at constant currency.

Bullish Highlights

- Pricing of 6% in Europe and 5.7% in the US more than offset volume declines, delivering low single-digit tobacco net revenue growth in line with guidance.
- NGP net revenue grew 7.5% at constant currency; Zone US oral nicotine volumes up 40% (ex-promotional impact, US NGP net revenue grew 20%); blu vapour gained 130bps of market share.
- Europe NGP made a profitable contribution in H1 FY26, a positive milestone for the segment's path to profitability.
- Syria market entry making a meaningful contribution to ACE volumes in H1 and expected to step up in H2; Africa delivering strong volume performance.
- Over £50 million in H1 one-offs expected to significantly reduce in H2, supporting a confident step-up in performance and full-year guidance delivery.

Q&A Highlights

- On AOP guidance range: Management declined to specify upper/lower end of 3–5% guidance, reiterating confidence in full-year delivery given H2 one-off reduction and pricing tailwinds.
- On market share: CEO emphasized triangulation of price, volume, and share over pure volume or value share metrics; noted not all basis points of share are equal given widening premium-to-discount gross margin spreads.
- On US NGP strategy post-myblu exit: Management highlighted grandfathered rights, innovation pipeline in strengths and flavors, and commitment to building Zone OND share patiently; US vape re-entry contingent on PMTA process improvements.
- On Germany tax environment: CFO noted any new tax plan changes are unlikely to impact FY26, with FY27+ impact more probable; positive engagement with German Finance Ministry ongoing.
- On duty drawback benefit: CEO clarified meaningful contribution expected in H2 FY27 (not FY26), with full impact in FY28, pending FDA factory certification approvals.

- 4% ordinary dividend increase announced; £1.45 billion share buyback on track; cumulative capital returns since FY21 total £11.5 billion (~77% of Jan-21 market cap).
- FX expected to be a 0–1% headwind to operating profit and EPS growth for the full year.

Bearish Highlights

- Aggregate volume share in five priority markets declined 60bps in H1 FY26, described as a deliberate choice to prioritize value over low-return volume.
- NGP net revenue growth in H1 was below the full-year double-digit guidance due to US promotional timing impacts (~£13 million hit to revenue and losses).
- Australia experienced accelerated volume declines of ~50%, impacting ACE adjusted operating profit; Logista adjusted operating profit also declined due to reduced tobacco inventory profits.
- The company is exiting US vapor (myblu), a 10-year-old declining product, reducing near-term US NGP revenue while a replacement strategy is developed.
- Middle East conflict flagged as a potential risk to input costs, duty-free volumes, and consumer demand, particularly if the situation persists into FY27.

Misses

- H1 FY26 adjusted operating profit of £1,662 million grew only 0.6% at constant currency, narrowly missing some analyst expectations due to the £50 million+ in one-off headwinds.
- NGP net revenue growth of 7.5% in H1 fell short of the full-year double-digit guidance, primarily due to US promotional timing impacts that management described as non-recurring.
- Aggregate volume share in the five priority markets declined 60bps, below the company's own stated goal of maintaining aggregate share, though management framed this as intentional value prioritization.

Top News, last 60 days:

[FTSE 100 falls as U.S.-Iran peace talks stall and Trump considers renewed military action](#)

May 12, 2026

- British FTSE 100 fell 0.04% on Tuesday, May 12, 2026, while Germany's DAX declined 1.54% and France's CAC 40 dropped 0.95%, as U.S.-Iran negotiations hit a deadlock.
- Trump on Monday, May 11, 2026, called the ceasefire "on life support" and dismissed Iran's latest response as a "piece of garbage," while considering restarting Project Freedom military operations and renewed strikes.
- On the Beach reinstated its fullyear adjusted pretax profit forecast at £18 million/£25 million, well below analyst estimates of £38.5 million/£42 million, after the Iran war triggered booking pullbacks.
- Wizz Air projected breakeven to slightly positive earnings for fiscal 2026, warning of challenging conditions amid ongoing Middle East conflict.
- Imperial Brands warned the Iran war could hurt input costs and consumer demand if the conflict persists, with firsthalf adjusted operating profit of £1.64 billion narrowly missing expectations.

Importance - 7/10 Negative

[FDA Proposes Registration Rule for Foreign Tobacco Manufacturers](#)

June 26, 2026

- The FDA proposed a rule on Friday, June 26, 2026, requiring foreign tobacco product manufacturers to register facilities and list products sold in the U.S., addressing illegal imports including ecigarettes popular with young people.
- U.S. manufacturers like Philip Morris International are already required to register facilities and list products, but foreign manufacturers currently face no such requirements.
- The rule would affect major global tobacco companies including British American Tobacco, Japan Tobacco, and Imperial Brands, as well as smaller overseas ecigarette manufacturers.
- Manufacturers would need to provide product details including nicotine concentration, flavors, and package types, with ecigarette makers also submitting eliquid volume, battery capacity, and wattage information.
- Companies would submit information electronically through the FDA's online system, updating facility registrations annually and product listings twice yearly.

Importance - 6/10 Neutral

[BAT Reports H1 2026 Earnings Miss on Revenue and EPS, Stock Closes Down 1.71%](#)

May 15, 2026

- British American Tobacco reported H1 2026 EPS of \$1.27 USD, missing the forecast of \$1.38 USD (7.97%), and revenue of \$4.52 billion USD, below the forecast of \$4.68 billion USD (3.42%).
- On Friday, 20260515, BAT's stock rose 1.03% in premarket trading but closed down 1.71% at \$37.55, near its 52week low of \$35.30.
- The company reported low singledigit tobacco revenue growth driven by pricing (Europe +6%, U.S. +5.7%), offsetting volume declines, with operating cash conversion at 98% and free cash flow of £2.6 billion over the past 12 months.
- Oneoff items totaling over £50 million impacted H1 results, including U.S. mass market cigar tariffs, accelerated Australian volume declines of around 50%, and promotional timing impacts in NGP that reduced U.S. NGP net revenue and increased losses by approximately £13 million.

Importance - 6/10 Neutral

[Imperial Brands H1 2026: Pricing power offsets volume declines, maintains full-year guidance](#)

May 12, 2026

- Imperial Brands reported H1 fiscal 2026 results on Tuesday, May 12, 2026, with tobacco and NGP net revenue up 1.8% at constant currency and adjusted EPS up 5.3% to 127.7 pence.
- Group adjusted operating profit increased 0.6% at constant currency to £1,662 million despite over £50 million in onetime headwinds including US cigar tariffs and Australia volume declines.
- Pricing power of 3.0% at group level offset 1.5% volume decline, with Europe achieving strongest price/mix gains at 6.0% against 3.9% volume decline.
- NGP net revenue grew 7.5% at constant currency with blu vapour gaining 130 basis points market share and zone US oral nicotine volumes up 40%.
- Company maintained fullyear fiscal 2026 guidance: 35% adjusted operating profit growth at constant currency, at least high singledigit EPS growth, and at least £2.2 billion free cash flow.

Importance - 6/10 Neutral

Imperial Brands Reports H1 2026 Results with Low Single-Digit Revenue Growth and Confirms Full-Year Guidance

May 12, 2026

- Imperial Brands reported low singledigit tobacco net revenue growth in H1 fiscal 2026, driven by pricing strategies that offset volume declines.
- Adjusted operating profit grew 0.6% despite headwinds totaling over £50 million from U.S. tariffs on mass market cigars, accelerated Australia volume declines (50%), and U.S. NGP promotional timing impacts (£13 million).
- The company generated £2.6 billion in free cash flow over the past 12 months with 98% operating cash conversion and announced a 4% dividend increase.
- Imperial Brands is on track with its £1.45 billion share buyback program and confirmed fullyear guidance of 3%5% adjusted operating profit growth and at least high singledigit EPS growth.
- The company is exiting U.S. vapor (myblu) and expects £100 million in savings from closing Langenhagen (Germany) and Taiwan factories by summer 2027, targeting £320 million total efficiency savings by 2030.

Importance - 6/10

Neutral

BofA Reports Mixed US Nicotine Sales Through May 30 with Cigarette Volumes Down 7.4% and Oral Tobacco Up 5.8%

June 09, 2026

- Bank of America scanner data for the four weeks ending May 30 showed US cigarette industry dollar sales down 3.3% with volume down 7.4% and price mix up 4.4%, while oral tobacco sales increased 5.8% with volume up 0.4% and price mix up 5.4%.
- Altria Group cigarette sales fell 3.2% but gained 20 basis points of volume share, while vapor sales dropped 56.9% losing 3.1 percentage points of share; the company's on! Plus moist pouch became available nationally in late March.
- British American Tobacco oral and smokeless tobacco sales jumped 28.3% with volume up 26.9%, gaining 590 basis points of share, while vapor sales rose 8.8% gaining 800 basis points of share.
- Philip Morris International recorded smokeless and oral tobacco sales growth of 0.6% but lost 180 basis points of smokeless volume share; ZYN Ultra moist pouch is being rolled out in the US this month (June 2026).

Importance - 5/10

Neutral

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